IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT – 1

ITEM No. 201 - C.P.(CAA)/19(AHM)2023 in C.A.(CAA)/61(AHM)2022

Order under Sections 230-232 of the Companies Act, 2013

IN THE MATTER OF:

Silvam Innovation Labs Pvt Ltd
Polycab India Ltd **.....Applicants**

Order delivered on: 08/08/2023

Coram:

Mr.Shammi Khan, Hon'ble Member(J)
Mr.Kaushalendra Kumar Singh, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

-Sd-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

CP (CAA) No.19/NCLT/AHM/2023 in
CA(CAA)No.61/NCLT/AHM/2022

[Petition under Sections 230-232 of the Companies Act, 2013 read with the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016]

Scheme of Amalgamation

of

Silvan Innovation Labs Private Limited
(Transferor Company)

with

Polycab India Limited
(Transferee Company)

and

Their respective Shareholders and Creditors

Order delivered on 08.08.2023

Coram: Mr. Shammi Khan, Hon'ble Member(J)
Mr.Kaushalendra Kumar Singh, Hon'ble Member(T)

In the matter of:

Polycab India Limited
(CIN:L31300GJ1996PLC114183)

A company incorporated under the provisions of the Companies Act, 1956, having its Registered Office at Unit 4, Plot No. 105, Halol Vadodara Road, Village Nurpura, Taluka Halol, Panchmahals -389 350, Gujarat.

....Petitioner Company No.1
(Transferee Company)

With

Silvan Innovation Labs Private Limited
(CIN: U72900GJ2008PTC135164)

A company incorporated under the provisions of the Companies Act, 1956, having its Registered Office at Unit 4, Plot No. 105, Halol Vadodara Road, Village Nurpura, Taluka Halol, Panchmahals-389 350, Gujarat.

....Petitioner Company No.2
(Transferor Company)

Appearance:

For the Applicants : Mr. Prashant Patel, Advocate.

For the RD : Mr. Shiv Pal Singh, Asst.Director

O R D E R

1. The present joint Company Petition has been filed by the Petitioner Companies under Sections 230-232 of the Companies Act, 2013 read with companies (Compromise, Arrangement and Amalgamations) Rules, 2016 seeking approval of the Scheme of Amalgamation of M/s. Silvan Innovation Labs Pvt. Ltd.

(Transferor Company) with M/s. Ploycab India Ltd. (Transferee Company) with effect from **01.04.2022**, being the Appointed Date as mentioned in the Scheme.

2. An Affidavit in support of the Company Petition has been sworn by Mr. Jagrut Sevantilal Shah, Authorized Signatory of the Petitioner Companies and the same is annexed to the Company Petition. The above-named Authorized Signatory for the Petitioner Companies has been authorized vide Board Resolutions dated 18.10.2022 and 12.10.2022 passed by the Petitioner Companies.

3. M/s. Ploycab India Limited-Transferee Company is a listed public company whose Equity Shares are listed on the BSE Limited and the National Stock Exchange of India Limited and its registered office is situated at Taluka Halol, Panchmahals, Gujarat. The Transferee Company vide its acknowledgement dated 21.10.2022 has intimated BSE Limited and National Stock Exchange of India Limited about the scheme as per the Listing Regulation & SEBI circulars for the purpose of disclosures.

4. M/s. Silvan Innovation Labs Private Limited-Transferor Company is a private limited company and its registered office is also situated at Taluka Halol, Panchmahals, Gujarat. The Transferor Company is wholly-owned subsidiary of the Transferee Company and all the shares of the Transferor Company are held by the Transferee Company jointly nominee holder.

5. The Petitioner Companies had filed a joint Company Application before this Tribunal being CA (CAA) No. 61 of 2022, inter alia,

sought dispensation of meetings of the Equity Shareholders, Sole Preference Shareholder and Sole Unsecured Creditor of the Transferor Company; further sought direction for convening and holding meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferee Company. Since there were no Secured Creditors in the Transferor Company, Secured Creditors meetings of the Transferor Company were not required.

6. By an order dated 08.02.2023 passed in CA (CAA) No.61/NCLT/AHM/2022, this Tribunal directed to convene and hold meetings of the Equity Shareholders, Secured and Unsecured Creditors of the Transferee Company on 17.03.2023, for the purpose of considering and, if thought fit, approving the Scheme of Amalgamation with or without modification (s). This Tribunal had dispensed with the meetings of the Equity Shareholders, Sole Preference Shareholder and Sole Unsecured Creditor of the Transferor Company in view of the consent affidavits. Since there were no Secured Creditors in the Transferor Company, the meetings of Secured Creditors of the Transferor Company were not necessary.

7. This Tribunal had appointed Mr. Dipak Rachchha, Advocate or in his absence Mr. Mehul Rajput as the Chairman of the aforesaid meetings and gave further directions to comply with various stipulations contained in the Order including filing of the Chairman's Report. This Tribunal had also directed issuance of notices to the (i) Central Government through the Regional Director, (ii) the Registrar of Companies, (iii) the Income Tax Authorities (iv) BSE Limited, (v) National Stock Exchange

Limited, (vi) Securities and Exchange Board of India; and Official Liquidator (in respect of the Transferor Company).

8. In compliance of the order dated 08.02.2023 passed by this Tribunal in CA (CAA) No. 61 of 2022, the petitioner companies sent notices to statutory / regulatory authorities as well as the respective stock exchanges. Further, notice of the meetings was sent to the Equity Shareholders, Secured and Unsecured Creditors of the Transferee Company as required by the order together with a copy of the Scheme of Amalgamation and of the statement required by Section 230 of the Companies Act, 2013. The petitioner companies also published about convening of the meetings in 'Financial Express' in English and 'Gujarat Samachar' in Vernacular language, both in Ahmedabad Edition on 15.02.2023. The Petitioner Companies filed affidavit dated 02.03.2023 regarding service of notice of meetings, publication of notice in the local dailies and service of notice to the statutory / regulatory authorities with this Tribunal on 07.03.2023.

9. In compliance with the directions for convening the meetings, separate meetings were duly convened on 17.03.2023 for the Equity Shareholders, Secured and the Unsecured Creditors of the Transferee Company. The Chairman appointed for the said meetings has filed his reports on 23.03.2023. The said reports confirm the approval to the proposed Scheme unanimously by the Equity Shareholders, Secured and Unsecured Creditors of the Transferee Company.

10. It is submitted that thus, all the stakeholders have unanimously approved the Scheme of Amalgamation.

11. In response to the notice served upon the Regional Director (RD), a Representation dated 27.04.2023 was filed by the RD, North-Western Region, along with the report dated 16.03.2023 from the Registrar of Companies (RoC), on 09.05.2023. Their observations are as follows:-

(i) To direct the Petitioner Companies to undertake the compliance of Section 232(3)(i) of the Companies Act, 2013 and to pay fees, accordingly.

(ii) The petitioner companies to pay legal fees/expenses to the Central Government for submitting this report.

(iii) The Transferee Company to comply with the provisions of Section 13 of the Companies Act, 2013 and Rule made thereunder also shall file the relevant E-Form i.e. MGT-14 for alteration of Main Objects of the Amalgamated Company with the Ministry of Corporate Affairs along with requite fees.

(iv) To direct the Petitioner Company to preserve its books of accounts, papers and records and shall not be disposed of without prior permission of Central Government as per the provision of Section 239 of the Companies Act, 2013.

(v) To direct the Petitioner Company to ensure Statutory Compliances of all applicable Laws and also on sanctioning of the present Scheme, the Transferor Company shall not be absolved from any of its Statutory Liabilities, in any manner.

(vi) Necessary Stamp Duty on transfer of property / Assets, if any, to be paid to the respective Authorities before implementation of the Scheme.

(vii) To direct the companies involved in the scheme to comply with the provisions of Section 232(5) of the Companies Act, 2013 with respect to file certified copy of order sanctioning of the scheme with Registrar of Companies, within 30 days from the date of passing of order.

The Regional Director in its report at para No. 2(e), stated as under:-

" (e) That, the Regional Director submits that the petitioner transferee company namely Polycab India Limited is listed with BSE and NSE. In this regard, the NOCs from the stock exchanges are not required in the matter since all the shares of the transferor company is held by the petitioner transferee company, pursuant to the SEBI Circular No. SEBI/HO/CFD/DIL1/CIR/P/2021/0000000665 dated 23.11.2011. However, as per SEBI above circular, such draft scheme shall be filed with the Stock Exchange for the purpose of disclosures and the Stock Exchange shall disseminate the scheme documents on their website. In this regard, the petitioner Transferee Company have already submitted draft scheme with Stock Exchanges vide email dated 21.10.2022".

12. In response to the notice to the Official Liquidator (OL), the OL has filed report dated 10.04.2023 on 04.05.2023, with respect to the Transferor Company, The OL has observed the following:-

(i) To direct the Transferor Company to preserve its books of accounts, papers and records and shall not be disposed of without prior permission of the Central Government as per the provisions of Section 239 of the Companies Act, 2013.

(ii) To direct the Transferor Company to ensure Statutory compliance of all applicable laws and also on sanctioning of the present Scheme, the Transferor Company shall not be absolved from any of its Statutory liabilities, in any manner.

(iii) The Transferor Company may be dissolved without following the process of winding-up in terms of sub-section 3(d) of Section 232 of the Companies Act, 2013. Further the Transferor Company being dissolved, the fee, if any, paid by the Transferor Company on its Authorized Share Capital shall be set-off against any fees payable by the Transferee Company on its Authorized Capital subsequent to the amalgamation in terms of sub section 3(i) of Section 232 of Companies Act, 2013.

(iv) To pay such cost and expenses to the office of the official liquidator for the Transferor Company or any such amount as may be considered appropriate by this Bench.

(v) To lodge a certified copy of order along with the Scheme, with the concerned superintendent of stamp duty for determination of stamp duty payable, if any.

13. In response to the representation made by the Regional Director, the Registrar of Companies and the Official Liquidator, the Petitioner Transferee has filed common affidavit dated

25.05.2023 on 31.05.2023 giving its response to the observations of the Regional Director.

(i) To undertake that the Petitioner Transferee Company shall abide by the stipulations contained in Section 232(3)(i) of the Act and pay the requisite fees, as may be applicable and if liable.

(ii) The Petitioner Transferee Company undertakes to pay the requisite fees / cost to the Regional Director as may be quantified by this Tribunal.

(iii) The Transferee Company shall file necessary e-form MGT-14 for alteration of Main Object Clause.

(iv) To undertake to preserve the books of accounts, papers and records and shall not dispose them without prior permission of the Central Government and shall ensure Statutory Compliance of the applicable laws and further undertakes that they shall not be absolved of any of the statutory compliances.

(v) To undertake to file the relevant e form i.e. MGT 14 and the requisite fees.

14. In response to the observation of the Official Liquidator, the petitioner companies stated in their reply is as under:-

(i) To undertake to preserve the books of accounts, papers and records of the Transferor Company shall be preserved and shall not be disposed of without prior permission of Central Government as per the provision of Section 239 of the Companies Act, 2013.

(ii) To undertake that the Transferor Company shall ensure Statutory Compliances of all applicable laws and the Transferor Company shall not be absolved from any of its Statutory liabilities.

(iii) To undertake to pay fees, if any, as required under Section 232 of the Companies Act, 2013.

(iv) To undertake to lodge copy of order along with requisite application with the concerned Superintendent of Stamps for Adjudication as per provision of the law.

(v) To undertake that both the petitioner companies shall comply with the provision of Section 232(5) and file certified copy of the order, passed by this Bench, within 30 days of receiving the same.

15. In response to the notice served upon the Income Tax Department, a report in respect of the Silvan Innovation Labs Private Limited (Transferor Company) dated 26.05.2023 received on 05.06.2023 from the Jt. Commissioner of Income Tax (OSD), Central Circle – 5(2), Mumbai, wherein at para-4 and 5 it is stated as under:-

"4. This office has considered the Scheme and the comments in respect to 'petition for above company' are as follows:-

i) It is clear that all pending proceedings against Silvan Innovation Labs Private Limited shall be continued against the Resultant Company. Therefore, the Scheme should be without prejudice to the rights of the Income Tax Department and the Income-tax Department is free to proceed against the Resultant Company for all its proceedings.

ii) At the moment this scheme is not being examined with reference to the taxation aspect vis-à-vis other such scheme/s, if any. In future, if it is discovered that this scheme or similar such schemes are in any way acting as a device for tax-avoidance, then the Department will be at liberty to initiate the appropriate course of action as per law.

iii) The Income-tax Department will be free to examine the aspect of any tax payable as a result of the Scheme and in case it is found that the scheme ultimately results in tax avoidance or is not in accordance to the provisions of the Income Tax Act, then the Department will be at liberty to initiate the appropriate course of action as per law.

iv) It is further requested that the rights of the Income Tax Department should remain intact to take out appropriate proceedings regarding raising of any tax demand against the Resultant Company at any future date and these rights should not be adversely affected in view of the sanction of the Scheme.

5. It is reiterated that any sanction to the Scheme of Amalgamation and Arrangement under Sections 230 to 233 of the Companies Act, 2013 should not adversely impact the rights of the Income Tax Department for any present or future proceedings. The Department should be at liberty to take appropriate action as per law in case of an event of any tax-avoidance or violation of Income Tax Law or any other similar issue."

16. The Petitioner Companies had filed second motion joint petition being CP (CAA) No. 19/NCLT/AHM/2023 before this Tribunal seeking sanction of the Scheme (e-filed on 27.03.2023 and physical copy thereof was filed on 29.03.2023).

17. This Tribunal, by order dated 25.04.2023 admitted the aforesaid petition and directed issuance of notice to the Income-Tax

authorities, the Registrar, the respective stock exchanges and other sectoral regulators or authorities, informing the date of hearing. The Tribunal also directed publication of notice of hearing of the petition in "Financial Express" in English and in Vernacular language both in Ahmedabad edition not less than 10 days before the date fixed for hearing, calling for objections, if any, on or before the date of hearing.

18. Pursuant to the order dated 25.04.2023 passed by the Tribunal, the petitioner companies published the notice of hearing of the petition in "Financial Express" in English and in Gujarat Samachar in Vernacular language both in Ahmedabad edition on 17.05.2023. The notice in respect of hearing of the Company Petition was served upon all concerned statutory and regulatory authorities as well as to the stock exchanges. Affidavit dated 25.05.2023 to that effect is also filed by the petitioner companies on this Tribunal on 31.05.2023.

19. Pursuant to the order dated 25.04.2023 and issuance of notices to the statutory authorities as well as to the stock exchanges and publication of the notice in the local dailies, no representation is received.

20. It is submitted that no winding up proceedings have been filed or are pending against the petitioner companies under the Companies Act, 2013 or under the corresponding provisions of the Companies Act, 1956.

21. The petitioner Transferee Company has filed copy of its Audited Financial Statement as at 31.03.2022 and Unaudited Balance Sheet as at 31.12.2022. The petitioner Transferor Company has

also filed copy of its Audited Financial Statement as at 31.03.2022 and copy of Audited Balance Sheet as at 31.12.2022., which are annexed with the petition.

22. It is submitted that the Statutory Auditor of the Petitioner Companies has certified that the Accounting Treatment of the Scheme is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013. Copies of the certificates issued by the statutory auditors are produced on record.

23. The Petitioner Companies have stated in the Petition that no inspection or investigation has been instituted or is pending against any of the petitioner companies under the provisions of the Companies Act, 2013. It was also stated that if there is any deficiency found, or violation committed of any enactment, statutory rules or regulations, the sanction granted by the Tribunal to the scheme will not come in the way of action being taken in accordance with law, against the concerned persons, directors and officials of the petitioner companies.

24. The Scheme of Amalgamation as well as Schedule of Properties of the Transferor Company is produced on record.

25. We have heard Mr. Prashant Patel Ld. Counsel for the Petitioner Companies and also gone through the records.

26. Supreme Court in ***Miheer H. Mafatal V/s Mafatlal Industries Ltd JT 1996 (8) 205*** while considering the scope of the jurisdiction of the Company Court in respect of matters of sanction of the Scheme of Amalgamation as per the provisions of

Section 391 read with Section 393 of the Companies Act, 1956, observed as under:

> *"It is commercial wisdom of the parties to the scheme who have taken an informed decision about the usefulness and propriety of the scheme by supporting it by the requisite majority vote that has to be kept in view by the Court. The Court certainly would not act as a court of appeal and sit in judgment over the informed view of the concerned parties to the compromised as the same would be in the realm of corporate and commercial wisdom of the concerned parties. The Court has neither the expertise nor the jurisdiction to delve deep into the commercial wisdom by the creditors and members of the company who have ratified the Scheme by the requisite majority. Consequently, the Company Courts jurisdiction to that extent is peripheral and supervisory and not appellate."*

In view of the above Supreme Court Judgment, this Tribunal is not supposed to examine the commercial wisdom of the shareholders and creditors.

27. On the basis of above facts and submissions made by the Learned Counsel and by considering the entire facts and circumstances of the aforesaid company petition and on perusal of the Scheme and the proceedings, it appears that the requirements of the provisions of Sections 230 and 232 are satisfied by the petitioner companies. We are of the considered view that the proposed Scheme of Amalgamation is bona fide and in the interest of the shareholders and creditors. In the result, Company Petition No. CP (CAA) No. 19 of 2023 is allowed. The Scheme envisages

Amalgamation of M/s. Silvan Innovation Labs Private Limited (Transferor Company) with M/s. Polycab India Limited Sterling (Transferee Company). It is declared that the said sanctioned scheme shall be binding on the petitioner companies and their shareholders, creditors and all concerned under the scheme.

28. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

29. While approving the Scheme as above, we further clarify that this order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including income tax, GST, etc. or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

30. It is further clarified that Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and sanction of the Scheme of Amalgamation given hereunder shall not adversely affect the rights of Income Tax Department on any past, present or future proceedings.

31. This Tribunal orders as under:-

(i) The Scheme of Amalgamation as annexed herewith as **"Annexure A"** is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their Shareholders and Creditors and all concerned under the Scheme.

(ii) It is declared that the Transferor Company shall be dissolved without winding up.

(iii) All the property annexed herewith as **"Annexure B"**, right and powers of the Transferor Company specified in the schedule hereto and all the other property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vested in the Transferee Company for all the estates and interest of the Transferor Company therein.

(iv) All proceedings, if any, now pending against the Transferor Company be continued by or against the Transferee Company.

(v) All workers / employees of all the Transferor Company shall be deemed to become the workers /employees of the Transferee Company with effect from the Appointed Date, and shall stand absorbed in the Transferee Company in accordance with the Scheme without any interruption of service and on terms and conditions no less favourable than those on which they are engaged by the Transferor Company, as on the Effective Date.

(vi) The Petitioner Companies within thirty days of the date of

receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the entire Undertaking of the Transferor Company shall stand transferred to the Transferee Company and the Registrar of Companies shall place all documents relating to the Transferor Company to the file kept by him in relation to the Transferee Company and the files relating to the said companies shall be treated accordingly.

(vii) Upon the Scheme becoming effective no shares of the Transferee Company shall be allotted in lieu or exchange of the holding in the Transferor Company and the entire share capital of the Transferor Company and / or its nominees shall stand cancelled and extinguished without any further acts or deeds.

(viii) All concerned Authorities to act on copy of this order along with the Scheme authenticated by the Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme.

(ix) The Petitioner Companies are directed to lodge a copy of this Order and the approved Scheme and Schedule of Assets attached as Annexure-B with this order, duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the Order.

(x) The Petitioner Companies are further directed to file a copy of this order along with the copy of the Scheme with

the concerned the Registrar of Companies, electronically, along with e-form INC-28 in addition to physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

(xi) The legal fees and expenses of the office of the Regional Director is quantified at Rs.10,000/- in respect of each of the Petitioner Companies. The said fees to the Regional Director shall be paid by the Transferee Company.

(xii) The legal fees and expenses of the office of the Official Liquidator are quantified at Rs.10,000/- in respect of the Transferor Company. The said fees of the Official Liquidator shall be paid by the Transferee Company.

(xiii) Filing and issuance of drawn up orders are dispensed with. All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the authenticated copy of this order alongwith Scheme immediately.

(xiv) Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and if it is found that the Scheme of Amalgamation ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Dept. shall be at liberty to initiate appropriate course of action as per law. Any sanction of the Scheme of Amalgamation under Sections 230-232 of the Companies Act, 2013 shall not adversely

affect the rights of Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

(xv) Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

32. The Company Petition CP (CAA) No. 19 of 2023 connected with CA (CAA) No. 61 of 2022 is disposed of, in terms of the above order.

-Sd- -Sd-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

Sudha-Steno

ANNEXURE - G

Annexure-A

THE SCHEME OF AMALGAMATION

OF

SILVAN INNOVATION LABS PRIVATE LIMITED

WITH

POLYCAB INDIA LIMITED

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

UNDER SECTIONS 230 TO 232 AND OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013

NATIONAL COMPANY LAW TRIBUNAL *AHMEDABAD*

Contents:

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NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

A. BACKGROUND & DESCRIPTION OF THE COMPANIES

1. **Polycab India Limited** (hereinafter referred to as **"Polycab"** or **"Transferee Company"**) is a listed public company whose equity shares are listed on the BSE Limited and the National Stock Exchange of India Limited and is incorporated under the provisions of the Companies Act, 1956 and is bearing corporate identification number L31300GJ1996PLC114183 and PAN: AAACP6474E and having its registered office at Unit 4, Plot No.105, Halol Vadodara Road Village Nurpura, Taluka Halol, Panchamahal Panch Mahals - 389350, Gujarat, India. The Company is the largest manufacturer of Wires and Cables in India and is one of the fastest growing players in FMEG space.

2. **Silvan Innovation Labs Private Limited** (hereinafter referred to as the **"Silvan"** or **"Transferor Company"**) is a private limited company incorporated under the provisions of the Companies Act, 1956 bearing corporate identification number U72900GJ2008PTC135164 and PAN: AADCK4193Q, having its registered office at Unit 4, Plot No. 105, Halol Vadodara Road, Village Nurpura, Taluka Halol, Panchamahal, Gujarat - 389350. The Company is in the business of manufacture of computer software and providing automation solutions for homes, offices and hotels.

B. PREAMBLE

1. This Scheme of Amalgamation (hereinafter referred to as the "Scheme") is presented under Sections 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 (including any statutory modifications and re-enactments thereof) and the rules and regulations made thereunder, as may be applicable, and in compliance with Section 2(1B) of the Income-tax Act, 1961 for Amalgamation of Transferor Company and Transferee Company on a going concern basis.

SILVAN INNOVATION LABS PVT. LTD.

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2. The Scheme also provides for various other matters consequential to Amalgamation or otherwise integrally connected herewith.

C. RATIONALE OF THE SCHEME

1. The nature of business carried on by the Transferor Company is complimentary to the business carried on by the Transferee Company.

2. The Transferor Company is a wholly owned subsidiary of the Transferee Company and it was acquired with the purpose of building capabilities in the area of Internet of Things (IoT) based home solutions and setting up an integrated platform for appliances to talk with each other.

3. The proposed Amalgamation would ensure transformation of the Transferee Company from inter alia an electrical manufacturing company to a technology focused solutions provider with inhouse research and development for IoT based products and will boost the FMEG business of the Transferee Company.

4. The proposed Amalgamation will result in the following benefits to the Companies:

4.1 **Consolidation of Internet of Things (IoT) based home and office automation Products:** The proposed Amalgamation will enable the technology of the Transferor Company to be consolidated with the product range of the Transferee Company.

4.2 **Synergised Operations:** The proposed Amalgamation will result in synergy benefits arising out of product and technology consolidation thereby reducing costs and increasing operational efficiencies.

4.3 **Technology and R&D integration:** The proposed Amalgamation will likely result in optimized technology transfer, reduced R&D costs, sharing of best practices and cross-functional learning and development. IoT Automation can be achieved across varied product categories plants of the

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Transferor Company, by using the Transferee Company's information technology applications and systems.

4.4 **Optimisation of resource utilisation:** The proposed Amalgamation will result in greater economies of scale, reduction in overheads and other expenses and improvement in various operating parameters. The proposed Amalgamation will result in utilisation of research and development expertise across various FMEG products of the Transferee Company.

4.5 **Consolidation of compliances:** The proposed Amalgamation will lead to reduction in the multiplicities and duplicities of statutory, legal and regulatory compliances. The time and efforts for consolidation of financials at group level would stand reduced.

4.6 **Improved customer interaction, service and satisfaction:** The proposed Amalgamation will provide easier accessibility to customers of all products of both companies and would make it easier to improve customer satisfaction and service.

4.7 **Rationalization of apportioning**: The proposed Amalgamation will ensure rationalizing apportioning of various costs relating to management, administrative and compliance.

4.8 **Simplifying corporate structure:** The proposed Amalgamation will help in streamlining and simplifying the operating and corporate structure of the Transferee Company.

4.9 **Proposed Amalgamation not prejudicial to shareholders:** The Transferor Company is wholly owned subsidiary of the Transferee Company and all the shares of the Transferor Company are held by the Transferee Company jointly nominee holder. The Scheme envisages transfer of the Undertaking of the Transferor Company to the Transferee Company. Accordingly, the Scheme is not prejudicial to the interest of the shareholders of the Transferor Company.

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4.10 **Scheme is in best interest of shareholders and creditors:** The Scheme is in the best interests of the shareholders, employees and the creditors of the Companies.

4.11 **Scheme to benefit stakeholders:** The Scheme does not have any adverse effect on either the shareholders, the employees or the creditors of the companies. The Boards of Directors of the companies believe that the Scheme would ensure benefit to all the stakeholders and will enhance the value for all shareholders / promoters.

D. PARTS OF THE SCHEME

The Scheme is divided into the following parts:

(i). PART I deals with the definitions of capitalized terms used in this Scheme and the details of the share capital of Transferee Company and Transferor Company;

(ii). Part II deals with the amalgamation of the Transferor Company with the Transferee Company;

(iii). PART III deals with the general terms and conditions that would be applicable to this Scheme.

RUNAN INNOVATION LABS PVT. LTD.

POLYCAB INDIA LTD

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

PART I

DEFINITIONS, INTERPRETATION, SHARE CAPITAL AND DATE OF TAKING INTO EFFECT OF THE SCHEME

1. DEFINITIONS

In this Scheme, unless inconsistent with the subject or context thereof (i) capitalised terms defined by inclusion in quotations and/ or parenthesis have the meanings so ascribed; (ii) all terms and words not defined in this Scheme shall have the meaning ascribed to them under the relevant Applicable Laws; and (iii) the following expressions shall have the meanings ascribed hereunder:

1.1. "**Act" or "the Act**" means the Companies Act, 2013, and any rules, regulations, notifications, circulars or guidelines issued thereunder including any modifications, re-enactments or amendments thereof as in force from time to time;

1.2. "**Appointed Date**" means 1st April, 2022 or such other date as may be approved by the Tribunal and agreed to by the Board of the Parties;

1.3. "**Applicable Law**" or "**Law**" means any applicable national, foreign, provincial, local or other law including applicable provisions of all (a) constitutions, decrees, treaties, statutes, laws (including the common law), codes, notifications, rules, regulations, policies, guidelines, circulars, directions, directives, ordinances or orders of any Appropriate Authority, statutory authority, court, tribunal having jurisdiction over the Parties; (b) approvals; and (c) orders, decisions, injunctions, judgments, awards and decrees of or agreements with any Appropriate Authority having jurisdiction over the Parties as may be in force from time to time;

1.4. "**Appropriate Authority**" means the government of any jurisdiction (including any national, state, municipal or local government or any political or administrative subdivision thereof) and any department, ministry, agency, instrumentality, court, tribunal, central bank, commission, tax authorities, SEBI, stock exchanges, or other authority thereof; any public international organization or supranational body and its institutions, departments, agencies and instrumentalities; and any governmental, quasi-governmental or private body or agency lawfully exercising, or entitled to exercise, any administrative, executive, judicial, legislative, regulatory, licensing, competition, tax, importing, exporting or other governmental or quasi-governmental authority;

1.5. "**Board" or "Board of Directors**" in relation to the Transferee Company and Transferor Company, as the case may be, means the Board of Directors of such company, and shall include a Committee of Directors or any person authorized by such board of directors or such Committee of Directors duly constituted and authorized for the purposes of matters pertaining to this Scheme or any other matter relating thereto;

1.6. "**Effective Date**" has the meaning ascribed to it in Clause 21 hereof. References in this Scheme to the date of "**coming into effect of this Scheme**" or "**effectiveness of this Scheme**" or "**upon the Scheme becoming effective**" shall mean the Effective Date;

1.7. "**Encumbrance"** means (a) any charge, lien (statutory or other), pledge, hypothecation, mortgage, assignment, or mortgage, any easement, encroachment, right of way, right of first refusal or other encumbrance or security interest securing any obligation of any Person; (b) pre-emption right, option, right to acquire, right to set off or other third party right or claim of any kind, including any restriction on use, voting, transfer, receipt of income or exercise; or (c) any hypothecation, title retention, restriction, power of sale or other preferential arrangement; or (d) any agreement to create any of the above; and the term "**Encumber**" shall be construed accordingly;

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1.8. "**Income Tax Act**" means the Income-tax Act, 1961 and shall include any statutory modifications, re-enactments or amendments thereof for the time being in force;

1.9. "**INR**" means Indian Rupee, the lawful currency of the Republic of India;

1.10. "**Parties" or "Companies**" means collectively the Transferee Company, Transferor Company and "**Party**" or "**Company**" shall mean each of them individually;

1.11. **"Paid-up capital" or "Paid-up Share capital"** means aggregate of Equity Share Capital and Preference Share Capital.

1.12. "**Permits**" means all consents, licences, permits, certificates, permissions, authorisations, rights, clarifications, approvals, clearances, confirmations, declarations, waivers, exemptions, registrations, right to claims, exclusions, grants, benefits, registrations, filings, whether governmental, statutory, regulatory or otherwise as required under Applicable Law and includes all rights of way associated under Applicable Law or otherwise;

1.13. "**Person**" means an individual, a partnership, body corporate, a corporation, a limited liability partnership, a limited liability company, an association, a joint stock company, a trust, a joint venture, an unlimited liability company, an unlimited liability partnership firm, union, association or Governmental Authority or other entity that may be treated as a person under Applicable Laws;

1.14. "**ROC**" means the Registrar of Companies having jurisdiction over the Transferee Company or Transferor Company, as the case may be;

1.15. "**Scheme**" or "**this Scheme**" means this scheme of Amalgamation as modified from time to time;

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1.16. "**Taxation**" or "**Tax**" or "**Taxes**" means all forms of taxes and statutory, governmental, state, provincial, local governmental or municipal impositions, duties, claims, contributions, cess and levies, whether levied by reference to income, profits, book profits, gains, net wealth, asset values, turnover, added value, goods and service or otherwise and shall further include payments in respect of or on account of Tax, whether by way of deduction at source, collection at source, dividend distribution tax, advance tax, minimum alternate tax, goods and service tax or otherwise or attributable directly or primarily to Transferee Company, Transferor Company , as the case may be, and shall include all penalties, charges, costs and interest relating thereto;

1.17. **"Tax Laws"** means all Applicable Laws dealing with Taxes including but not limited to income-tax, wealth tax, sales tax / value added tax, service tax, goods and service tax, excise duty, customs duty or any other levy of similar nature;

1.18. **"Transferee Company" or "Polycab"** in relation to the Scheme means Polycab India Limited, a company incorporated under the provisions of the Companies Act, 1956, bearing CIN L31300GJ1996PLC114183 having its registered office at Unit 4, Plot No 105, Halol Vadodara Road Village Nurpura, Taluka Halol, Panchamahal Panch Mahals-389350, Gujarat, India;

1.19. **"Transferor Company" or "Silvan"** in relation to the Scheme means **Silvan Innovation Labs Private Limited** a company incorporated under the provisions of the Companies Act, 1956 bearing CIN: U72900GJ2008PTC135164, having its registered office at Unit 4, Plot No 105, Halol Vadodara Road Village Nurpura, Taluka Halol, Panchamahal Panch Mahals-389350, Gujarat, India;

1.20. "**Tribunal**" means the Ahmedabad Bench of the National Company Law Tribunal;

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1.21. **"Undertaking"** means all the undertakings and the entire business of the Transferor Company as a going concern as of the Appointed Date, including all its properties, investments, rights, approvals, and all its debts, outstandings, liabilities, duties, obligations and employees, if any, including, but not in any way limited to, the following:

a) all books, records, files, papers, whether in physical or electronic form;

b) all applications (including hardware, software, licenses, source codes, parameterization and scripts), registrations, licenses, trade names, service marks, trademarks, copyrights, brands, patents, domain names, designs, intellectual property rights (whether owned, licensed or otherwise, and whether registered or unregistered), trade secrets, research and studies, technical knowhow, confidential information and all such rights of whatsoever description and nature;

c) all the assets and properties (whether movable or immovable, tangible or intangible (including but not limited to rights, titles, interest, goodwill, etc.), real or personal, in possession or reversion, corporeal or incorporeal, present, future or contingent of whatsoever nature), whether or not recorded in the books of accounts of the Transferor Company (including, without limitation, furniture, fixtures, machinery, office equipment, computers, fixed assets, current assets (including, without limitation, all inventories, stocks, advertisement, promotional and packaging material), cash and bank accounts (including bank balances), contingent rights or benefits, benefits of any deposits, receivables, advances or deposits paid by or deemed to have been paid by the Transferor Company, financial assets, vehicles, rights to use and avail of telephones, telexes, facsimile, email, internet, leased line connections and installations, utilities, electricity and other services, reserves, provisions, funds, benefits of assets or properties or other interest held in trust, registrations, contracts, engagements, arrangements of all kind, privileges and all other rights, easements, privileges,

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liberties and advantages of whatsoever nature and wheresoever situate belonging to or in the ownership, power or possession and in the control of or vested in or granted in favour of or enjoyed by the Transferor Company or in connection with or relating to the Transferor Company and all other interests of whatsoever nature belonging to or in the ownership, power, possession or the control of or vested in or granted in favour of or held for the benefit of or enjoyed by the Transferor Company, whether in India or abroad;

d) all the credits for taxes such as income tax, wealth tax, central sales tax, service tax, applicable state value added tax, goods and services tax including but not limited to the right to claim credit for indirect taxes such as CENVAT credit, VAT credit, GST credit, or any other input tax credit, advance tax, withholding tax/ TDS, taxes withheld/paid in a foreign country, self-assessment tax, regular tax, minimum alternate tax, dividend distribution tax, securities transaction tax, deferred tax assets/liabilities, accumulated losses under the Income Tax Act and allowance for unabsorbed depreciation under the Income Tax Act, losses brought forward and unabsorbed depreciation as per the books of accounts and tax refunds of the Transferor Company; and

e) all contracts, agreements, memorandum of understanding, memorandum of undertakings, memorandum of agreements, memorandum of agreed points, other arrangements, undertakings, deeds, bonds, schemes, insurance covers and claims, clearances and other instruments of whatsoever nature and description, whether written, oral or otherwise and all rights, title, interests, claims and benefits thereunder.

2. INTERPRETATION

In this Scheme, unless the context otherwise requires:

2.1 words denoting the singular shall include the plural and *vice versa* and words denoting any gender shall include all genders;

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2.2 headings, subheadings, titles, subtitles to clauses, sub-clauses and paragraphs are for information and convenience only and shall not form part of the operative provisions of this Scheme and shall be ignored in construing the same;

2.3 the words "include" and "including" are to be construed without limitation;

2.4 reference to a clause, paragraph or schedule is a reference to a clause, paragraph or schedule of this Scheme;

2.5 reference to any law or legislation or regulation shall include amendment(s), circulars, notifications, clarifications or supplement(s) to, or replacement, re-enactment, restatement or amendment of, that law or legislation or regulation and shall include the rules and regulations thereunder; and

2.6 references to days, months and years are to calendar days, calendar months and calendar years, respectively.

3. SHARE CAPITAL

3.1 The share capital of Transferee Company as on 30th September 2022 was as under:

Particulars	Amount (In Rs.)
Authorised Capital	
18,62,50,000 Equity Shares of Rs.10 each	186,25,00,000
TOTAL	186,25,00,000
Issued, Subscribed and Paid up Capital	
14,96,51,002 Equity Shares of Rs.10 each fully paid up	1,49,65,10,020
TOTAL	**1,49,65,10,020**

3.2 Subsequent to the above date and up to the date of approval of this Scheme by the Board of Directors of Transferee Company, there has been no change in the share capital of the Transferee Company.

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3.3 The share capital of Transferor Company as on 30th September 2022 was as under:

Particulars	Amount (In Rs.)
Authorised Capital	
1,80,392 Equity shares of Rs.100 each,	1,80,39,200
3,00,000 0.1 % Compulsorily Convertible Preference shares of Rs.10 each (Class A),	30,00,000
1,451 0.1% Compulsory Convertible Preference shares of Rs.200 each (Class A1),	2,90,200
4,353 0.1% Compulsorily Convertible Preference shares of Rs.200 each (Class A2),	8,70,600
14,000 0.1% Compulsorily Convertible Preference shares of Rs.200 each (Class A3)	28,00,000
25,000 0.1 % Compulsorily Convertible Preference shares of Rs.200 each (Class B)	50,00,000
TOTAL	**3,00,00,000**
Issued, Subscribed and Paid-up Capital	
1,01,956 Equity shares of Rs. 100 each, fully paid up	1,01,95,600
291177 0.1 % Compulsorily Convertible Preference shares of Rs.10 each (Class A),	29,11,770
1451 0.1% Compulsory Convertible Preference shares of Rs. 200 each (Class A1),	2,90,200
4353 0.1% Compulsorily Convertible Preference shares of Rs. 200 each (Class A2),	8,70,600
13,236 0.1% Compulsorily Convertible Preference shares of Rs. 200 each (Class A3),	26,47,200
10,864 0.1 % Compulsorily Convertible Preference shares of Rs. 200 each (Class B)	21,72,800
TOTAL	**1,90,88,170**

3.4 Subsequent to the above date and up to the date of approval of this Scheme by the Board of Directors of Transferor Company, there has been no change in the share capital of the Transferor Company.

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4. DATE OF TAKING EFFECT AND IMPLEMENTATION OF THIS SCHEME

This Scheme in its present form or with any modification(s), as may be approved or imposed or directed by the Tribunal, shall become effective from the Appointed Date but shall be operative from the Effective Date.

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PART II

AMALGAMATION OF THE TRANSFEROR COMPANY WITH THE TRANSFEREE COMPANY AND OTHER RELATED MATTERS

5. TRANSFER AMALGAMATION AND VESTING OF ASSETS AND LIABILITIES AND ENTIRE BUSINESS OF THE TRANSFEROR COMPANY

5.1 With effect from the Appointed Date, and subject to the provisions of this Scheme and pursuant to Section 232 of the Act, the Transferor Company shall stand amalgamated with the Transferee Company as a going concern and all assets, liabilities, contracts, arrangements, employees, Permits, licences, records, approvals, privileges, easements, advantages, benefits, intellectual property rights, etc. of the Transferor Company shall, without any further act, instrument or deed, stand transferred to and vested in or be deemed to have been transferred to and vested in the Transferee Company, so as to become as and from the Appointed Date, the assets, liabilities, contracts, arrangements, employees, Permits, licences, records, approvals, etc. of the Transferee Company by virtue of, and in the manner provided in this Scheme.

5.2 Without prejudice to the generality of the above and to the extent applicable, unless otherwise stated herein, with effect from the Appointed Date:

5.2.1 all the assets of the Transferor Company that are movable in nature or are otherwise capable of being transferred by physical or manual delivery or by paying over or endorsement and/ or delivery, shall be so transferred and deemed to have been so transferred by the Transferor Company by operation of law and shall be deemed to have been handed over by physical delivery or endorsement or presentment with the intent of vesting such assets with the Transferee Company as on the Appointed Date without the need for any further act or execution of a separate instrument;

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5.2.2 the assets of the Transferor Company, other than those referred to in Clause 5.2.1 above, including all rights, title and interests in the agreements (including agreements for lease or license of the properties), investment in shares of any body corporate, fixed deposits, mutual funds, bonds and any other securities, actionable claims, sundry debtors, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received, cash and bank balances, earnest moneys and deposits, if any, with government, semi-government, local and other authorities and bodies, customers or other persons or companies, whether or not the same is held in the name of the Transferor Company, shall, without the need for any further act, instrument or deed, be transferred to and vested in and be deemed to be transferred to and vested in the Transferee Company, with effect from the Appointed Date by operation of law or as transmission, as the case may be, in favour of Transferee Company. With regard to the licenses of the properties, the Transferee Company will enter into novation agreements, if it is so required by Applicable Law;

5.2.3 The Transferee Company, may issue notices in such form as the Transferee Company deems fit and proper stating that pursuant to the Tribunal having sanctioned this Scheme of Amalgamation of the Transferor Company with the Transferee Company under Sections 230 to 232 of the Companies Act 2013, the relevant debt, loan, advance, bank balance or other asset, be paid or made good or held on account of the Transferee Company, as the person entitled thereto, to the end and intent that the right of the Transferor Company to recover or realize the same stands transferred and assigned to the Transferee Company and that appropriate entries should be passed in their respective books to record the aforesaid changes without the need for any further act or execution of a separate instrument;

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5.2.4 all the immovable properties (including but not limited to the land, buildings, offices, factories, sites, tenancy rights related thereto, and other immovable property, including accretions and appurtenances), whether or not included in the books of the Transferor Company, whether freehold or leasehold (including but not limited to any other document of title, rights, interest and easements in relation thereto, and any shares in cooperative housing societies associated with such immoveable property) shall stand transferred to and be vested in the Transferee Company, as successor to the Transferor Company, without the need for any act or deed to be done or executed by the Transferor Company, as the case may be and/ or the Transferee Company;

5.2.5 all debts, liabilities, contingent liabilities, duties and obligations of every kind and nature (debentures, commercial paper, bonds, notes or other debt securities, loan from companies) of the Transferor Company shall, without any further act, instrument or deed be transferred to, and vested in, and/ or deemed to have been transferred to, and vested in, the Transferee Company, so as to become on and from the Appointed Date, the debts, liabilities, contingent liabilities, duties and obligations of the Transferee Company on the same terms and conditions as were applicable to the Transferor Company, and it shall not be necessary to obtain the consent of any Person who is a party to contract or arrangement by virtue of which such liabilities have arisen in order to give effect to the provisions of this Clause 5.2.5;

5.2.6 for the removal of doubt, it is clarified that upon the Scheme coming into effect and with effect from the Appointed Date, to the extent there are inter-corporate loans, deposits, obligation, balances or other outstanding as between the Transferor Company inter-se and/or the Transferee Company, the obligations in respect thereof

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shall come to an end and there shall be no liability in that behalf and corresponding effect shall be given in the books of account and records of the Transferee Company for the reduction of such assets or liabilities as the case may be;

5.2.7 the Transferee Company will be entitled to all the trade and service names and marks, brands, patents, copyrights, licenses, marketing authorisations, approvals and marketing tangibles of the Transferor Company including registered and unregistered trademarks along with all rights of commercial nature including those attached to goodwill, title, interest, labels and brands registrations, copyrights, trademarks and all such other industrial or intellectual rights of whatsoever nature;

5.2.8 all the brands, intellectual property rights, and trademarks (including logo and right to use the trademarks) of the Transferor Company including registered and unregistered trademarks along with all rights of commercial nature including attached goodwill, title, interest, labels and brand registrations, copyrights trademarks and all such other industrial and intellectual property rights of whatsoever nature shall be transferred to the Transferee Company. The Transferee Company shall take such actions as may be necessary and permissible to get the same transferred and/ or registered in the name of the Transferee Company;

5.2.9 the vesting of the entire undertaking of the Transferor Company, as aforesaid, shall be subject to the Encumbrances, if any, over or in respect of any of the assets or any part thereof, provided however that such Encumbrances shall be confined only to the relevant assets of Transferor Company or part thereof on or over which they are subsisting and no such Encumbrances shall extend over or apply to any other asset(s) of Transferee Company. Any reference in any security documents or arrangements (to which Transferor

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Company is a party) related to any assets of Transferor Company shall be so construed to the end and intent that such security shall not extend, nor be deemed to extend, to any of the other asset(s) of Transferee Company. Similarly, Transferee Company shall not be required to create any additional security over assets vested under this Scheme for any loans, debentures, deposits or other financial assistance already availed of/ to be availed of by it, and the Encumbrances in respect of such indebtedness of Transferee Company shall not extend or be deemed to extend or apply to the assets so vested;

5.2.10 on and from the Effective Date and till such time that the name of the bank accounts of the Transferor Company has been replaced with that of the Transferee Company, the Transferee Company shall be entitled to maintain and operate the bank accounts of the Transferor Company in the name of the Transferor Company and for such time as may be determined to be necessary by the Transferee Company. All cheques and other negotiable instruments, payment orders received or presented for encashment which are in the name of the Transferor Company after the Effective Date shall be accepted by the bankers of the Transferor Company and credited to the account of the Transferee Company, if presented by the Transferee Company;

5.2.11 without prejudice to the foregoing provisions of Clause 5, the Transferor Company and/ or the Transferee Company shall be entitled to apply to the Appropriate Authorities as are necessary under any law for such consents, approvals and sanctions which the Transferee Company may require and execute any and all instruments or documents and do all the acts and deeds as may be required, including filing of necessary particulars and / or modification(s) of charge, with the concerned ROC or filing of necessary applications, notices, intimations or letters with any authority or Person, to give effect to the above provisions;

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5.2.12 all taxes and cess or other like payments or deductions (including but not limited to advance tax, self-assessment tax, regular tax, tax deducted at source, minimum alternate tax credits, dividend distribution tax, securities transaction tax, taxes withhold/paid in a foreign country, value added tax, sales tax, service tax, goods and service tax, etc.) paid / payable by or refunded / refundable to the Transferor Company with effect from the Appointed Date, including all or any refunds or claims shall be treated as the tax liability or refunds/claims, etc. as the case may be, of the Transferee Company, and any tax incentives, advantages, privileges, accumulated losses and allowance for unabsorbed depreciation as per Section 72A of the Income Tax Act, losses brought forward and unabsorbed depreciation as per books of account, deductions otherwise admissible such as under section 40, 40A, 43B, etc of the Income Tax Act, exemptions, credits, holidays, remissions, reductions, service tax input credits, GST input credits etc, as would have been available to the Transferor Company, shall pursuant to this Scheme becoming effective, be available to the Transferee Company. This clause is to be read along with Clause 10 of this Scheme and the relevant authorities shall be bound to transfer to the account of and give credit for the same to the Transferee Company upon the coming into effect of this Scheme and upon relevant proof and documents being provided to the said authorities;

5.2.13 This Scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified under Section 2(1B) and other relevant provisions of the Income-tax Act, 1961. If any terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said section and other related provisions at a later date including resulting from a retrospective amendment of law or for any other reason whatsoever, till the time the

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Scheme becomes effective, the provisions of the said section and other related provisions of the Income-tax Act, 1961 shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2(1B) and other relevant provisions of the Income-tax Act, 1961;

5.2.14 Without prejudice to the above provisions, with effect from the Appointed Date, all inter-party transactions between Transferor Companies and Transferee Company shall be considered as intra-party transactions for all purposes from the Appointed Date.

6. EMPLOYEES, STAFF AND WORKMEN

6.1 On the Scheme becoming effective, all employees of the Transferor Company on the Effective Date, shall be deemed to have become employees of the Transferee Company, without any break in their service and the terms and conditions of their employment with the Transferee Company shall not be less favourable than those subsisting on the Effective Date. The Transferee Company undertakes to continue to abide by any agreement/settlement, if any, validly entered into by the Transferor Company with any union/employee of the Transferor Company recognized by the Transferor Company. It is hereby clarified that the accumulated balances, if any, standing to the credit of the employees in the existing provident fund, gratuity fund and superannuation fund of which the employees of the Transferor Company are members shall be deemed to be funds of the Transferee Company and/or shall stand transferred to such provident fund, gratuity fund and superannuation fund of the Transferee Company or to be established and caused to be recognized by the Appropriate Authorities, by the Transferee Company. It is clarified that the services of the employees of the Transferor Company will be treated as having been continuous, uninterrupted and taken into account for the purpose of the said fund or funds.

6.2 Pending the transfer as aforesaid, the provident fund, gratuity fund and superannuation fund dues of the employees of the Transferor Company would continue to be deposited in the existing provident fund, gratuity fund and superannuation fund respectively of the Transferor Company.

6.3 Without prejudice to the aforesaid, the Board of the Transferee Company, if it deems fit and subject to applicable laws, shall be entitled to retain separate funds within the Transferee Company for the erstwhile fund(s) of the Transferor Company.

6.4 The Transferor Company shall not vary the terms of service of employment of any employee except in the ordinary course of business.

7. LEGAL PROCEEDINGS

7.1 On the Scheme becoming effective, any suit, petition, appeal or other proceeding of whatsoever nature and any orders of court, judicial or quasi-judicial tribunal or other governmental authorities enforceable by or against the Transferor Company pending as on the Effective Date, shall not abate or be discontinued or in any way prejudicially affected by reason of the Amalgamation of the Transferor Company or of any order of or direction passed or issued in the Amalgamation proceedings or anything contained in this Scheme, but by virtue of the order sanctioning the Scheme, such legal proceedings shall be continued and any prosecution shall be enforced by or against the Transferee Company in the same manner and to the same extent as would or might have been continued, prosecuted and/or enforced by or against the Transferor Company, as if this Scheme had not been implemented.

7.2 After the approval of the Scheme by the Parties and until the Effective Date, the Transferor Company shall defend all legal proceedings, other than in the ordinary course of business, with the advice and instructions of the Transferee Company.

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7.3 The transfer and vesting of the assets and liabilities under the Scheme and the continuance of the proceedings by or against the Transferee Company shall not affect any transaction or proceeding already completed by the Transferor Company between the Appointed Date and the Effective Date to the end and intent that the Transferee Company accepts all acts, deeds and things done and executed by and/or on behalf of the Transferor Company as acts, deeds and things done and executed by and on behalf of the Transferee Company.

8. PERMITS

With effect from the Appointed Date, all the Permits held or availed of by, and all rights and benefits that have accrued to, the Transferor Company, pursuant to the provisions of Section 232 of the Act, shall without any further act, instrument or deed, be transferred to, and vest in, or be deemed to have been transferred to, and vested in, and be available to, the Transferee Company so as to become as and from the Appointed Date, the Permits, estates, assets, rights, title, interests and authorities of the Transferee Company and shall remain valid, effective and enforceable on the same terms and conditions to the extent permissible in Applicable Laws. Upon the Effective Date and until the Permits are transferred, vested, recorded, effected, and/ or perfected, in the record of the Appropriate Authority, in favour of the Transferee Company, the Transferee Company is authorized to carry on business in the name and style of the Transferor Company, and under the relevant license and/ or permit and/ or approval, as the case may be, and the Transferee Company shall keep a record and/ or account of such transactions.

9. CONTRACTS, DEEDS, BONDS, AGREEMENTS ETC.

9.1 On the Scheme becoming effective, all contracts, deeds, bonds, agreements, indemnities, guarantees or other similar rights or entitlements whatsoever, schemes, arrangements and other instruments, permits, rights, entitlements, power of attorneys, certificates, licenses (including the licenses granted by any Governmental, statutory or regulatory bodies) for the purpose of

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carrying on the business of the Transferor Company, and in relation thereto, and those relating to tenancies, privileges, powers, facilities of every kind and description of whatsoever nature in relation to the Transferor Company, or to the benefit of which the Transferor Company may be eligible and which are subsisting or having effect immediately before this Scheme coming into effect, shall pursuant to the order of the Authority sanctioning the Scheme, and on this Scheme becoming effective be deemed to be contracts, deeds, bonds, Agreements, indemnities, guarantees or other similar rights or entitlements whatsoever, schemes, arrangements and other instruments, permits, rights, entitlements, licenses (including the licenses granted by any Governmental, statutory or regulatory bodies) of the Transferee Company. It is clarified that all conditions, stipulations, pre-requisites, terms laid down under any Governmental, statutory or regulatory bodies, fulfilled by the Transferor Company prior to the Effective Date, shall be deemed to have been fulfilled and complied with by the Transferee Company. The Transferee Company shall be entitled to the benefit of all qualification criteria, track-record, experience, goodwill and all other rights, claims and powers of whatsoever nature and whosesoever situate belonging to or in the possession of or granted in favour of or enjoyed by the Transferor Company for all intents and purposes for its business. Such properties and rights described hereinabove shall stand vested in the Transferee Company and shall be deemed to be the property and become the property by operation of law as an integral part of the Transferee Company. Such contracts and properties described above shall continue to be in full force and continue as effective as hitherto in favour of or against the Transferee Company and shall be the legal and enforceable rights and interests of the Transferee Company, which can be enforced and acted upon as fully and effectually as if it were the Transferor Company.

9.2 Upon this Scheme becoming effective, the rights, benefits, privileges, duties, liabilities, obligations and interest whatsoever, arising from or pertaining to contracts and properties, shall be deemed to have been entered into and stand assigned, vested and

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novated to the Transferee Company by operation of law and the Transferee Company shall be deemed to be the Transferor Company substituted party or beneficiary or obligor thereto. It being always understood that the Transferee Company shall be the successor in the interest of the Transferor Company. In relation to the same, any procedural requirements required to be fulfilled solely by the Transferor Company, shall be fulfilled by the Transferee Company as if it were the duly constituted attorney of the Transferor Company.

9.3 Without prejudice to other provisions of this Scheme and notwithstanding the fact that vesting of the entire undertaking of the Transferor Company occurs by virtue of the Scheme itself, the Transferee Company may, at any time after the coming into effect of this Scheme in accordance with the provisions hereof, if so required, under any law or otherwise, enter into, or issue or execute deeds, writings, confirmations, novations, declarations, or other documents with, or in favour of any party to any contract or arrangement to which the Transferor Company is a party or any writings as may be necessary to be executed in order to give formal effect to the above provisions. The Transferee Company shall be deemed to be authorised to execute any such writings on behalf and in the name of the Transferor Company and to carry out or perform all such formalities or compliances required for the purposes referred to above on the part of the Transferor Company.

9.4 Without prejudice to the provisions of this Scheme, with effect from the Appointed Date, all inter-party transactions between the Transferor Company and the Transferee Company shall be considered as intra-party transactions for all purposes, from the Appointed Date. Any taxes (including tax deducted at source or dividend distribution tax) paid in relation to such transaction shall, to the extent permissible by applicable law, be claimed as a refund.

9.5 The Transferee Company shall be entitled to the benefit of all insurance policies which have been issued in respect of the

Transferor Company and the name of the Transferee Company shall be substituted as "Insured" in the policies as if the Transferee Company was initially a party thereto.

9.6 Any inter-se contracts between the Transferor Company on the one hand and the Transferee Company on the other hand shall cease to operate upon the coming into effect of this Scheme.

10. TAXES/ DUTIES / CESS ETC.

This Scheme has been drawn up to comply with the conditions as specified under Section 2(1B) of the Income Tax Act and other relevant provisions of the Income Tax Act involving as aforesaid. If any of the terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said Section at a later date including resulting from a retrospective amendment of law or for any other reason whatsoever, till the time the Scheme becomes effective, the provisions of the said section of the Income Tax Act shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2(1B) of the Income Tax Act and other relevant provisions of the Income Tax Act. Upon the effectiveness of the Scheme, by operation of law pursuant to the order of the Tribunal:

10.1 Upon scheme becoming effective, the Transferor Company (if required) and the Transferee Company are expressly permitted to revise their financial statements and its income tax returns along with prescribed forms, filings and annexures under the Income-Tax Act, 1961 and other statutory returns, including but not limited to tax deducted / collected at source returns, service tax returns, excise tax returns, sales tax / VAT / GST returns, as may be applicable. The Transferee Company has expressly reserved the right to make such provision in its returns and to claim refunds, advance tax credits, credit of tax under Section 115JB of the Income-tax Act, 1961 read with section 115JAA of the Income Tax Act, 1961, i.e. credit of minimum alternate tax, credit of dividend distribution tax, credit of tax deducted at source, credit of foreign taxes paid/withheld, etc. if any, as may

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be required for the purposes of/consequent to implementation of this Scheme, even if the prescribed time limits for filing or revising such returns have lapsed without incurring any liability on account of interest, penalty or any other sum. All compliances done by Transferor Company will be considered as compliances by Transferee Company.

10.2 If Transferor Company is entitled to any benefits under incentive schemes and policies under Tax Laws, all such benefits under all such incentive schemes and policies shall be and stand vested in Transferee Company.

10.3 Transferee Company is expressly permitted to revise and file its income tax returns and other statutory returns, along with the necessary forms, filings and annexures even beyond the due date, if required, including tax deducted / collected at source returns, service tax returns, excise tax returns, sales tax/ value added tax/ goods and service tax returns, as may be applicable and has expressly reserved the right to make such provision in its returns and to claim refunds, advance tax credits, credit of tax deducted at source, credit of foreign Taxes paid/withheld, etc. if any, as may be required for the purposes of/consequent to implementation of the Scheme.

10.4 It is hereby clarified that in case of any refunds, benefits, incentives, grants, subsidies, etc., Transferee Company, if so required, shall issue notice in the name of Transferor Company, in such form as it may deem fit and proper stating that pursuant to the Tribunal having sanctioned this Scheme under Sections 230 to 232 of the Act, the relevant refund, benefit, incentive, grant, subsidies, be paid or made good or held on account of Transferee Company, as the person entitled thereto, to the end and intent that the right of Transferor Company, to recover or realise the same, stands transferred to Transferee Company.

10.5 Obligation for deduction of tax at source on any payment made by or to be made by Transferor Company, under Tax Laws or other applicable laws/ regulations dealing with Taxes/ duties /

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levies duly complied by Transferor Company shall be made or deemed to have been made and duly complied with by Transferee Company.

10.6 All deductions otherwise admissible to the Transferee Company including payment admissible on actual payment or on deduction of appropriate taxes or on payment of tax deduction at source (such as under Section 40, 40A, 43B, etc. of the Income Tax Act) shall be available for deduction to the Transferee Company as it would have been available to the Transferor Company.

10.7 The accumulated losses and the allowance for unabsorbed depreciation of the Transferor Company shall be deemed to be the loss and the allowance for unabsorbed depreciation of the Transferee Company in accordance with Section 72A of the Income Tax Act.

10.8 Right to any claim not preferred or made by the Transferor company's in respect of any refund of tax, duty, cess or other charge, including any erroneous or excess payment thereof made by the Transferor company and any interest thereon, with regard to any law, act or rule or scheme made by the Governmental Authority, and in respect of set-off, carry forward of un-absorbed losses, deferred revenue expenditure, deduction, exemption, rebate, allowance, amortization benefit, etc. under the Income-tax Act, 1961, or taxation laws of other countries, or any other or like benefits under the said acts or under and in accordance with any law or act, whether in India or anywhere outside India.

11. CONSIDERATION

The Transferor Company is the wholly-owned subsidiary of the Transferee company and entire issued, subscribed and paid-up share capital of the Transferor Company is held by the Transferee Company and/or its nominees. Hence, upon the Scheme becoming effective no shares of the Transferee Company shall be allotted in lieu or exchange

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of the holding in the Transferor Company and the entire share capital of the Transferor Company and/or its nominees shall stand cancelled and extinguished without any further acts or deeds.

12. ACCOUNTING TREATMENT IN THE BOOKS OF THE TRANSFEREE COMPANY

12.1 Upon the Scheme becoming effective, from the Appointed date, the Transferee Company shall account for the Amalgamation in accordance with "the Pooling of Interest Method" as laid down in Appendix C of Indian Accounting Standard (Ind AS) 103 - Business Combinations of entities under Common Control, notified under section 133 of the Act, read with relevant rules framed thereunder and/or any other applicable Ind AS, as the case may be.

12.2 The Transferee Company, shall upon the Scheme coming into effect, record the assets and liabilities, including but not limited to Goodwill, if any, of Transferor Company, as on the Appointed date, as vested in it pursuant to the Scheme, at the respective carrying value as appearing in the consolidated financial statements of the Transferee Company. No adjustments are made to reflect fair values, or recognizes any new assets or liabilities. The only adjustments that are made are to harmonize accounting policies.

12.3 The balance of Retained Earnings as appearing into the consolidated financial statements of the of Transferor Company shall be aggregated with the corresponding balance appearing in the consolidated financial statements of the Transferor Company.

12.4 The identity of the other reserves as appearing into the financial statements of the of Transferor Company shall be preserved and shall appear in the financial statements of the Transferee Company in the same form in which they appeared in the financial statements of the Transferor Company.

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12.5 Pursuant to Amalgamation of Transferor Company into Transferee Company, inter-company balances between the Transferor Company and Transferee Company shall stand cancelled. Further, the value of investments held by Transferee Company in the Transferor Company shall stand cancelled.

12.6 The difference between the value of the assets over the value of liabilities including reserves pertaining to Transferor Company, after adjusting the book value of the investments in the shares of Transferor Company and any adjustment from Clause 12.5, if any, shall be adjusted to retained earnings of the Transferee Company.

12.7 The Loans and Advance or payables or receivables of any kind. held inter-se, if any between Transferor Company and the Transferee Company, as appearing in their respective books of accounts shall stand discharged prior to Effective Date

12.8 In case of any difference in accounting policies between the Transferor Company and the Transferee Company., the accounting policies of the Transferee Company will prevail and the difference shall be quantified and adjusted in the reserves of the Transferee Company, The effect on the financial statements of any change in the Accounting Policies shall be reported in accordance with applicable "Indian Accounting Standard (Ind AS) 8 for Accounting Policies, Changes in Accounting. Estimates and Errors"

12.9 All costs and expenses incurred in connection with the Scheme and to put it into operation and any other expense or charges attributable to the implementation of the Scheme shall be debited to the Profit & Loss of the Transferee Company.

13. CONDUCT OF BUSINESS FROM APPOINTED DATE UPTO THE EFFECTIVE DATE:

13.1 The Transferor Company with effect from the date of approval of [illegible] by Board of the Parties and until the Effective Date:

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13.1.1 shall be deemed to have been carrying on and shall carry on its business and activities and shall be deemed to have held and stood possessed of and shall hold and stand possessed of the assets for and on account of, and in trust for the Transferee Company;

13.1.2 all profits or income arising or accruing to the Transferor Company and all taxes paid thereon (including but not limited to advance tax, tax deducted at source, minimum alternate tax, goods and service tax, dividend distribution tax, securities transaction tax, taxes withheld/paid in a foreign country, etc.) or losses arising or incurred by the Transferor Company shall, for all purposes, be treated as and deemed to be the profits or income, taxes or losses, as the case may be, of the Transferee Company; and

13.1.3 all loans raised and all liabilities and obligations incurred by the Transferor Company after the Appointed Date and prior to the Effective Date, shall, subject to the terms of this Scheme, be deemed to have been raised, used or incurred for and on behalf of the Transferee Company in which the undertaking of the Transferor Company shall vest in terms of this Scheme and to the extent they are outstanding on the Effective Date, shall also, without any further act or deed be and be deemed to become the debts, liabilities, duties and obligations of the Transferee Company.

13.2 From the Effective Date, the Transferee Company shall carry on and shall be entitled to carry on the business of the Transferor Company.

13.3 The Transferee Company shall be entitled, pending the sanction of the Scheme, to apply to the Appropriate Authority and all other agencies, departments and authorities concerned as are necessary under any law for such consents, approvals and [illegible] which the Transferee Company may require, to carry

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on the business of the Transferor Company and to give effect to the Scheme.

13.4 The Transferee Company shall be entitled to credit the tax paid including credit of the tax deducted at source and input tax credit under the GST law in relation to The Transferor Company, for the period between the Appointed Date and the Effective Date.

13.5 For the purpose of giving effect to the Amalgamation order passed under Sections 230 to 232 and other applicable provisions of the Act in respect of this Scheme by the Authority, the Transferee Company shall, at any time pursuant to the orders approving this Scheme, be entitled to get the recordal of the change in the legal right(s) upon the Amalgamation of the Transferor Company, in accordance with the provisions of Sections 230 to 232 of the Act. The Transferee Company is and shall always be deemed to have been authorized to execute any pleadings, applications, forms, etc, as may be required to remove any difficulties and facilitate and carry out any formalities or compliances as are necessary for the implementation of this Scheme.

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14. SAVING OF CONCLUDED TRANSACTIONS

The vesting of the undertaking of the Transferor Company as above and the continuance of proceedings by or against the Transferor Company shall not affect any transaction or proceedings already concluded on or after the Appointed Date till the Effective Date in accordance with this Scheme, to the end and intent that the Transferee Company accepts and adopts all acts, deeds and things done and executed by the Transferor Company in respect thereto as done and executed on behalf of the Transferee Company.

15. COMBINATION OF AUTHORISED SHARE CAPITAL

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15.1 Upon the Scheme becoming effective, the authorised share capital of the Transferor Company will get amalgamated with

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that of the Transferee Company without payment of any additional fees and duties as the said fees have already been paid. The authorised share capital of the Transferee Company will automatically stand increased to that effect by simply filing the requisite forms with the Registrar of Companies and no separate procedure or instrument or deed or payment of any stamp duty and registration fees shall be required to be followed under the Act.

15.2 Upon this Scheme becoming effective the authorized share capital of the Transferee Company upon consolidation of the authorised capital as per Clause 15.1 shall be Rs. 1,89,25,00,000/- (Rupees One Eighty Nine Crores Twenty Five Lakhs only) divided into –

i. Rs. 1,86,25,00,000 divided into 18,62,50,000 Equity Shares of Rs.10 each

ii. Rs. 1,80,39,200 divided into 1,80,392 Equity shares of Rs.100 each,

iii. Rs. 30,00,000 divided into 3,00,000 0.1 % Compulsorily Convertible Preference shares of Rs.10 each,

iv. Rs. 2,90,200 divided into 1,451 0.1% Compulsory Convertible Preference shares of Rs. 200 each (Class A1),

v. Rs. 8,70,600 divided into 4,353 0.1% Compulsorily Convertible Preference shares of Rs.200 each (Class A2),

vi. Rs. 28,00,000 divided into 14,000 0.1% Compulsorily Convertible Preference shares of Rs.200 each (Class A3) and

vii. Rs. 50,00,000 divided into 25,000 0.1 % Compulsorily Convertible Preference shares of Rs.200 each (Class B)

15.3 Simultaneously, pursuant to Clause 15.2 upon this Scheme becoming effective the authorized share capital of the Transferee Company shall be reclassified to Rs. 1,89,25,00,000/- (Rupees One Eighty Nine Crores Twenty Five Lakhs only) divided into 18,92,50,000 (Eighteen Crores Ninety-Two lakhs Fifty thousand) equity shares of Rs. 10 (Rupees Ten Only) each without any further act or deed on the part of the Transferee Company and the Memorandum of Association and

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Articles of Association of the Transferee Company (relating to the authorized share capital) shall without any further act, instrument or deed be and stand altered, modified, reclassified, amended and the consent of the shareholders to the Scheme shall be deemed to be sufficient for the purposes of effecting this amendment and no further resolution(s) under Sections 13, 14, 61, 64 and applicable provisions of the Act would be required to be separately passed, as the case may be. For this purpose, the filing fees and stamp duty already paid by the Transferor Company towards their authorised share capital shall be utilised and applied to the increased authorised share capital of the Transferee Company and shall be deemed to have been so paid by the Transferee Company on such combined authorised share capital and, accordingly, the Transferee Company shall not be required to pay any fees/ stamp duty on the authorised share capital so increased. However, for any additional increase in authorized share capital as required necessary fees as per the provisions of the Act and stamp duty would be required to be paid.

15.4 It is clarified that the approval of the members of the Transferee Company to the Scheme shall be deemed to be their consent/approval also to the alteration of the Memorandum and Articles of Association of the Transferee Company as may be required under the Act, and Clause V of the Memorandum of Association of the Transferee Company.

The amended clause shall read as:

"The authorized share capital of the company is Rs. 1,89,25,00,000/- (Rupees One Eighty-Nine Crores Twenty-Five Lakhs only) divided into 18,92,50,000 (Eighteen Crores Ninety-Two Lakhs Fifty thousand) equity shares of Rs. 10 (Rupees Ten Only) each."

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16. AMENDMENT TO MEMORANDUM OF ASSOCIATION OF TRANSFEREE COMPANY

16.1 Upon this Scheme becoming effective, Memorandum of Association ("MOA") of Transferee Company shall be amended to include main objects of the Transferor Company in MOA of the Transferee Company.

16.2 The additional clauses to be added to the Clause III(A) of MOA of Transferee Company shall read as below:

1F. To carry on the business of computer software Development of all kinds, to promote, encourage, plan, develop, design, establish, maintain, organize, undertake, manage, operate, test, conduct and to run in India or abroad computer software, database, administration, consultation, software testing data processing, dissemination knowledge and skills to the foregoing, computer educational and courseware development, to facilitate development and maintenance of business and software applications on all popular mainframe and minicomputer platforms and to carry on the work of development of software and related services in all kinds and fields including export of computer software and services.

1G. To carry on the business of providing personnel services in India and abroad, arrange for their training whether technical or commercial in India and abroad and to provide management services in the field of software portfolio management investment counselling financial consultancy, corporate counsellors on Amalgamation, acquisitions and other allied activities.

1H. To carry on the business of providing software training consulting and project management services related to various activities of other companies and system analysis and management of engineering and application systems whether technical or commercial in India or abroad and to provide consultancy services.

1I. To establish, acquire, and operate facilities in India and

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abroad for the provision of information Technology services, including (a) business process outsourcing solutions (b) software development, maintenance and over related tasks (c) data generation entry processing research and analysis and monitoring and maintenance of computer systems.

16.3 It is hereby clarified that for the purpose of acts and events as mentioned in Clauses 16.1 and 16.2, the consent of the shareholders of the Transferee Company to this Scheme shall be deemed to be sufficient for the purposes of effecting the aforementioned amendment and that no further resolution under Section 13, Section 14 or any other applicable provisions of the Act, would be required to be separately passed, and shall be subject to the payment of relevant RoC fees and charges by the Transferee Company.

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PART III

GENERAL TERMS & CONDITIONS

17. VALIDITY OF EXISTING RESOLUTIONS, ETC.

Upon the coming into effect this Scheme, the resolutions/ power of attorney of/ executed by the Transferor Company , as are considered necessary by the Board of the Transferor Company, and that are valid and subsisting on the Effective Date, shall continue to be valid and subsisting and be considered as resolutions and power of attorney passed/ executed by the Transferee Company, and if any such resolutions have any monetary limits approved under the provisions of the Act, or any other applicable statutory provisions, then said limits as are considered necessary by the Board of the Transferee Company shall be added to the limits, if any, under like resolutions passed by the Transferee Company and shall constitute the aggregate of the said limits in the Transferee Company.

18. PROPERTY IN TRUST

Notwithstanding anything contained in this Scheme, on or after Effective Date, until any property, asset, license, approval, permission, contract, agreement and rights and benefits arising therefrom pertaining to the Transferor Company are transferred, vested, recorded, effected and/ or perfected, in the records of any Appropriate Authority, regulatory bodies or otherwise, in favour of the Transferee Company, such company is deemed to be authorized to enjoy the property, asset or the rights and benefits arising from the license, approval, permission, contract or agreement as if it were the owner of the property or asset or as if it were the original party to the license, approval, permission, contract or agreement. It is clarified that till entry is made in the records of the Appropriate Authorities and till such time as may be mutually agreed by the relevant Parties, the Transferor Company will continue to hold the property and/or the asset, license, permission, approval, contract or agreement and rights and benefits arising therefrom, as the case may be, in trust for and on behalf of the Transferee Company.

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19. APPLICATIONS/PETITIONS TO THE TRIBUNAL

19.1 The Parties shall dispatch, make and file all applications and petitions under Sections 230 to 232 and other applicable provisions of the Act before the Tribunal, under whose jurisdiction the registered offices of the respective Parties are situated, for sanction of this Scheme under the provisions of Applicable Law and shall apply for such approvals as may be required under Applicable Law.

19.2 The Parties shall be entitled, pending the sanction of the Scheme, to apply to any Appropriate Authority, if required, under any Applicable Law for such consents and approvals which the Parties may require to own the assets and/or liabilities of the respective Undertakings and to carry on the business of the respective Undertakings.

20. MODIFICATION OR AMENDMENTS TO THIS SCHEME

20.1 On behalf of each of the Parties, the Board of the respective Parties acting themselves or through authorized Persons, may consent jointly but not individually, on behalf of all Persons concerned, to any modifications or amendments to this Scheme at any time and for any reason whatsoever, or to any conditions or limitations that the Tribunal or any other Appropriate Authority may deem fit to direct or impose or which may otherwise be considered necessary, desirable or appropriate by all of them (i.e., the Boards of the Parties) and solve all difficulties that may arise for carrying out this Scheme and do all acts, deeds and things necessary for putting this Scheme into effect.

20.2 For the purposes of giving effect to this Scheme or to any modification hereof, the Boards of the Parties acting themselves or through authorized Persons may jointly but not individually, give and are jointly authorised to give such directions including [illegible] for settling any question of doubt or difficulty that

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may arise and such determination or directions, as the case may be, shall be binding on all Parties, in the same manner as if the same were specifically incorporated in this Scheme.

20.3 The Transferor Company and/or Transferee Company shall each be at liberty to withdraw the scheme in entirety in case any condition or alteration imposed by the Tribunal or appropriate authority is unacceptable to them or as may otherwise be deemed expedient or necessary.

20.4 In the event of revocation/ withdrawal of the Scheme, no rights and liabilities whatsoever shall accrue to or be incurred inter-se Transferor Company and/or Transferee Company, or the respective shareholders or creditors or employees or any other person except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any right, liability or obligation which has arisen or accrued pursuant thereto and which shall be governed and preserved or walk out as is specifically provided in the Scheme or in accordance with the applicable law and as agreed between the parties and in such case, each party shall bear its own cost unless mutually agreed.

20.5 It is hereby clarified that submission of this Scheme to the Tribunal and to the Appropriate Authorities for their respective approvals is without prejudice to all rights, interests, titles or defences that the Parties may have under or pursuant to all Applicable Law.

20.6 On the approval of this Scheme by the shareholders of the Parties and such other classes of Persons relating to the Parties, if any, such shareholders and classes of Persons shall also be deemed to have resolved and accorded all relevant consents under the Act or otherwise to the same extent applicable to all the matters related or arising pursuant to the Scheme.

21. SCHEME CONDITIONAL ON APPROVALS / SANCTIONS

This Scheme is and shall be conditional upon and subject to:

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21.1 The requisite consent, approval, no-objection, deemed acceptance or permission of the any government or any other statutory or regulatory authority which by law or otherwise may be necessary for the implementation of this Scheme.

21.2 the approval by the respective requisite majority of the shareholders and/or creditors (where applicable) of the Companies in accordance with the Act, subject to any dispensation that may be granted by the Tribunal;

21.3 the Tribunal having accorded its sanction to the Scheme;

21.4 certified copies of the order(s) of the Tribunal, sanctioning the Scheme, being filed with the Registrar of Companies, Gujarat, by all the Companies.

22. DISSOLUTION OF THE TRANSFEROR COMPANY

Upon the effectiveness of this Scheme, the Transferor Company shall be dissolved without winding up, and the Board and any committees thereof of the Transferor Company shall without any further act, instrument or deed be and stand ceased and discharged. The name of the Transferor Company shall be struck off from the records of the ROC and the Transferee Company shall make necessary filings in this regard and no separate consent / approval of the Transferee's shareholders shall be required under applicable provisions of the Act.

23. EFFECT OF NON-RECEIPT OF APPROVALS

In the event of any of the said sanctions and approvals referred to in the preceding Clause not being obtained and/or the Scheme not being sanctioned by the Tribunal, this Scheme shall stand revoked, cancelled and be of no effect, save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any rights and/or liabilities which might have arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out as is specifically provided in the Scheme or as may otherwise arise in

law. Each party shall bear and pay its respective costs, charges and expenses for and or in connection with the Scheme.

24. COSTS AND EXPENSES

All costs, charges and expenses payable in relation to or in connection with this Scheme and incidental to the completion of the transfer and vesting of assets and liabilities of Transferor Company to Transferee Company in pursuance of this Scheme including stamp duty on the order(s) of the Tribunal, if any, to the extent applicable and payable shall be borne and paid by the Transferee Company, except in the event of this Scheme not taking effect as provided in Clause above in which case, each company shall bear and pay its own costs, charges and expenses incurred in relation to or in connection with this Scheme.

25. SEVERABILITY

If any part of this Scheme is found to be unenforceable, unworkable or unviable for any reason whatsoever, the same shall not, subject to the decision of the Board of Directors of the Companies, affect the validity or implementation of the other parts and/or provisions of this Scheme.

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Annexure-B

Schedule of Properties

As on 19-06-2023

Part-I

PARTICULARS OF FREE HOLD PROPERTIES

Building

i. Office Building

Sr. No.	Description of Properties	Area (in Sq.Feet)
NIL		

ii. Factory Building

Sr. No.	Description of Properties	Area (in Sq.Meter)
NIL		

Part II

LEASE HOLD PROPERTIES

Sr. No.	Description of Properties	Area (in Sq. Meter)
NIL		

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Silvan Innovation Labs Pvt.Ltd.
Regd. Off.: UNIT 4, PLOT NO 105, HALOL VADODARA ROAD, VILLAGE NURPURA, TALUKA HALOL, PANCHAMAHAL Panch Mahals GJ 389350 | Tel : 2676- 227600 / 227700
E-mail: info@silvanlabs.com| Website. www.silvanlabs.com
CIN: U72900GJ2008PTC135164

Part III

Other stocks, shares, debentures and other charges in action: NIL

Any Registration No. to be carried forward and to be used in Transferee company, if any.

For Silvan Innovation Labs Private Limited

Manita Carmen A. Gonsalves
Director
DIN:10056440

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